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Study Notes

Characteristics of the Indian rural economy

Rural Economy in Nutshell

The following points highlight the top eleven characteristics of the Indian economy which also implies for rural economy as 68.8 per cent of country's population and 72.4 per cent of workforce resides in rural areas with almost half of the national income coming from them (as per 2011 census).

1. Low Per Capita Income	2. High rate of Population Growth
3. Unemployment & Underemployment	4. Poor rate of capital formation
5. Inequality in distribution of wealth	6. Low level of technology
7. Underutilization of natural resources	8. Lack of Infrastructure
9. Low level of living	10. Demographic characteristics
11. Excessive dependence on Agriculture and primary producing	

1. Low Per Capita Income

Per Capita Income in Rural and Urban Areas

- Government compiles estimates of rural and urban income, in terms of Per Capita Net Value Added (NVA), only in the base year of the Gross Domestic Product (GDP) series, which is currently 2011-12. **The per capita NVA for rural and urban area was Rs.40,925 and Rs.98,435 respectively in the year 2011-12.**
- All India annual per capita **Net National Income (NNI) for 2014-15 and 2022-23 at current prices are Rs. 86,647 and Rs. 1,72,000** respectively illustrating achievement in this regard.

(Source: - PIB-<https://pib.gov.in/PressReleaseSelfframePage.aspx?PRID=1913325> Dt. 3 Apr 2023)

Excessive dependence of agriculture and primary producing

- Indian economy can be best described by too much reliance on agriculture making it the primary producing **and 72.4 per cent of workforce still resides in rural areas.**
- But though times are changing, there's still a long way to go. As per numerous studies conducted recently, it is now apparent that still about two third of rural income is generated from non-agricultural activities.
- Likewise, it's a fact that more than half of the value supplemented in manufacturing sector in India is contributed by rural areas.

2. High rate of population growth

- India has a very high rate of growth of population, when compared to other countries, since 1950. Hence the pressure of population in our country is high.
- The decadal growth rate has **decreased significantly from 21.15% in census 2001 to 17.64% in census 2011.**
- The crude birth rate will decline from 19.6 during 2011-15 to 13.0 during 2031-35 because of falling level of total fertility. In contrast, the crude death rate is expected to increase marginally due to changing age structure of the population with the rising

median age as a result of continuing decline in fertility and increase in the expectation of life at birth. **It will increase from 6.9 during 2011-15 to 7.3 during 2031-35.**

- After a long time since Independence, increase in population is more in urban areas than in rural areas because of **Urbanization and Migration**.
- High rate of growth of population demands a higher rate of economic growth just for the maintenance of the same standard of living that imposes a greater economic burden on the economy of our country.

3. Existence of chronic unemployment and under-employment

- The degree to which a society can provide employment to the employment seekers is one of the most crucial indicators of the well-being of any society. Therefore, the unemployment rate, which measures the incapability to provide such employment becomes the most significant indicator to measure the health of any modern economy.
- Rapid growth of population coupled with incompetent growth of secondary and tertiary occupations are considered responsible for the occurrence of chronic unemployment and under-employment problem in our country.

As per the Centre for Monitoring Indian Economy (March 2023)

- Unemployment rate in India increased to **7.45 per cent in February 2023 from 7.14 per cent in January 2023**. The number of unemployed persons in the labor force in India **increased from 31.5 million to 33 million**.
- Unemployment rate in **rural India climbed from 6.48 per cent in January to 7.23 per cent in February**, which is a 0.75 percentage points increase.
- The number of unemployed persons in rural India **increased by around 2.3 million**.
- This rise in unemployment in February comes as a surprise because rural unemployment was on a downward trajectory in the preceding four months. Between **January and February 2023**, the rural labor participation rate remained almost unchanged at around 40.9 per cent.
- There was, however, a marginal increase in the size of the labor force. **The labor force in rural India expanded from 299.8 million in January to 300 million in February 2023.**

4. Poor rate of capital formation

- Gross Capital Formation (GCF) at the current as well as the constant prices is estimated by two approaches: –
 - (i) **Through flow of funds**, derived as Gross Saving plus net capital flow from Rest of the World (RoW); and
 - (ii) **By the commodity flow approach**, derived by the type of assets.
- The estimates of GCF through the flow of funds approach are treated as the firmer estimates. GCF by industry of use and by institutional sectors does not include 'valuables' and therefore, these estimates are lower than the estimates available from commodity flow approach.
- **Poor rate of capital formation in rural India is mainly because of three reasons:**
 - Lack of ability to save
 - Lack of willingness to save

- Insufficient mobilisation of savings

5. Inequality in the distribution of wealth

- Acc to World inequality report 2022, The average national income of the Indian adult population is €PPP7,400 (or INR204,200).* While the bottom 50% earns €PPP2 000 (INR53,610), the top 10% earns more than 20 times more (€PPP42 500 or INR1,166,520). **While the top 10% and top 1% hold respectively 57% and 22% of total national income, the bottom 50% share has gone down to 13%.**
- India stands out as a poor and very unequal country, with an affluent elite and **Extreme income inequalities in India**
- Gender inequalities in India are **very high**. The female **labor income share is equal to 18%**. This is significantly lower than the average in Asia (21%, excluding China). This value is one of the lowest in the world, slightly higher than the average share in Middle East (15%). The significant increase observed since 1990 (+8 p.p.) has been insufficient to lift women's labor income share to the regional average.
- As per the Socio-Economic and Caste Census (SECC) survey, a staggering 92% of **rural households reported their maximum income below Rs 10,000 per month.**
- SECC reports that only about 10% of rural households have salaried jobs. Of these, about two thirds are in public sector, and a third, 6.4 lakh in all, work regular private sector jobs.
- Moreover, only less than 5% of the rural households pay income tax or professional tax. This is mainly because agricultural income is not taxed and with over 92% **households earning less than Rs.10,000, most don't qualify.**

6. Low level of technology

- The rural economy of our country is suffering from technological backwardness. Obsolescent production techniques are largely being used in both the agricultural and industrial sectors in India.
- **Employment growth is grave in low-productivity agriculture that accounts for nearly three-fourth of the poor population.** At the same time, automation impedes to create more unemployment. Moreover, it would be very highly difficult to adopt modern technology in Indian productive system as most of its labor is either untrained or illiterate or unskilled or all of them.
- Currently, GOI is working to transform the country's rural economy and create skillful jobs in rural areas through its Digital India programme.
- **For the assessed 156 million rural households in India**, most living in poverty as per the India's National Sample Survey Organization (NSSO), there is a dire need for investment in transportation, power and internet literacy to create more employment for youth and women in rural areas.

7. Under-utilization of Natural Resources

- In respect of natural resources, India is considered to be a very rich country. Various types of natural resources, viz., land, water, minerals, forest and power resources are available in ample quantity in the numerous parts of our country.

- However, due to its several inherent problems viz, primitive techniques, inaccessible region, small extent of the market and shortage of capital lead to such huge resources remaining largely either untapped or under-utilized.
- Moreover, a large quantity of Forest and Mineral resources in India still remains mostly unexplored.

8. Lack of infrastructure

- Lack of infrastructural facilities is one of the impending problems from which the economy of India has been suffering till date. Though a number of initiatives have been taken to tackle this issue, there is still long way to go.
- These infrastructural facilities include Communication and transportation facilities, banking and credit facilities, electricity generation and distribution, health and educational institutes, economic organization etc.
- The two most important sectors of rural India, i.e., **agriculture and industry could not make much progress in the absence of the required infrastructural facilities** in the country.
- Moreover, due to the absence of proper and required infrastructural facilities, development potential of various regions of the country largely remained under-utilized.
- The following are the **10 infrastructural developments rural area** requires currently in order to not only raise the standards of Rural economy but also the overall economy of India.
 1. Waste management system
 2. Availability of Power
 3. Roads
 4. Bridges
 5. Schools
 6. Hospitals
 7. Affordable housing
 8. Telecom
 9. Water supply
 10. Sanitation facilities
 11. Low level of living
- The standard of living of the people living in India is in general considered to be very low.
- The **2022 Global Hunger Index (GHI) Report ranked India 107th out of 121 countries** with a **serious hunger situation** with a GHI score of 29.1 ("**serious situation**").
- Low consumption of fruits and vegetables and low intake of milk and milk products increased the risk of diabetes and hypertension respectively.

Table 1. Calories (energy, E) and Protein from different Food Groups ('MY PLATE' Recommendations)

Food groups	Foods to be Consumed (g / day)	Percent of Total E /day	Total E (kcal) /day	Total Protein (g) / day	Total fat (g) / day	Carbohydrate (g)/day
Cereals (incl. Nutri-cereals)	240	40	800	18	4	162
Pulses	90	17	340	21	3	41
Milk/ Curd (ml)	300	10	200	10	12	18
Vegetables' green leafy vegetable (GLV)	350	5	100	4	1	17
Fruits'	150	5	100	1	1	20
Nuts & Seeds	30	11	217	4	12	6
Fats & Oils'	27	12	243	-	27	0
Total	1187	100	2000	60	60	264

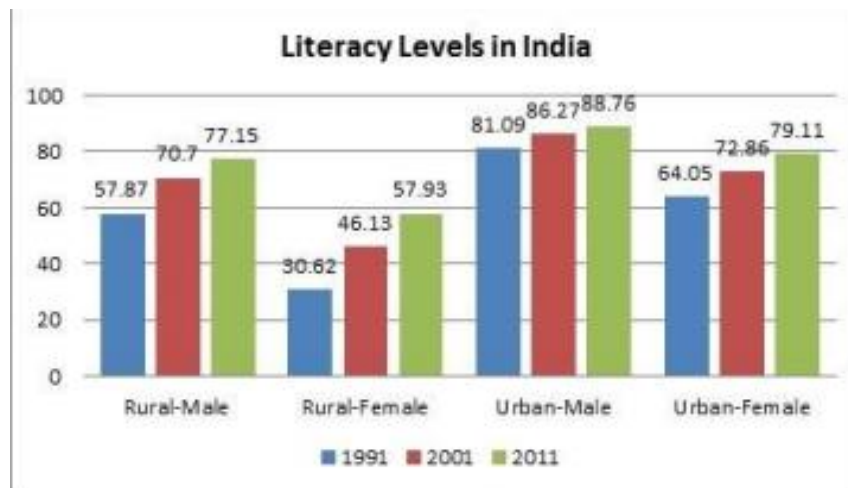
Source: ICMR-NIN My Plate



- As per the data collection for (SECC, Socio Economic and Caste Census), it showed that **One in three rural families** was landless and is invariably dependent on manual labor for its livelihood.
- In approx. 75 percent of rural households, the highest-earning member earned less than 5,000 rupees (\$79, or 71 euros) per month. Hardly one in 10 homes has a refrigerator, the report showed.
- However, living standards in some Indian cities and towns have improved rapidly in the past two decades but many rural areas are still lagging behind.

9. Poor quality of human capital

- Indian economy to a great extent is suffering from its poor quality of human capital.
- Mass illiteracy is the root cause of this problem and at the same time illiteracy is retarding the process of economic growth of our country.
- The results of 2011 census reveal that there has been an increase in literacy in the country. **The literacy rate in the country is 74.04 per cent, 82.14 for males and 65.46 for females.**
- Kerala retained its position by being on top with a 93.91 per cent literacy rate,** closely followed by Lakshadweep (92.28 per cent) and Mizoram (91.58 per cent).
- Bihar with a literacy rate of 63.82 per cent ranks last** in the country preceded by Arunachal Pradesh (66.95 per cent) and Rajasthan (67.06 per cent).



10. Demographic characteristics

- The demographic characteristics of India are not at all satisfactory as these are associated with high density of population. As per 2011 census, the density of **population in India was 382 per sq km**, as compared with **world density of population of 41 per sq km**.
- A high dependency ratio can cause serious problems for a country if a large proportion of a government's expenditure is on health, social security & education, which are most used by the youngest and the oldest in a population.
- Life Expectancy of Life at Birth show it has increased from 49.7 years in 1970-75 to 69.0 years in 2013-17**. For the same period, the Life Expectancy for Females is 70.4 years and 67.8 years for Males (Acc to National Health Profile 2020)

11. Inadequate development of economic organization

- Poor economic organization is yet another important characteristic of the **Rural Indian economy**. To attain economic development at an adequate rate, certain institutions are very much essential.
- As for example, for mobilization of savings and to meet other financial needs, more particularly in the rural areas, **development of certain financial institutions** is very much needed.
- In India the availability or expansion of financial institutions is still inadequate in the rural areas.
- There is the pressing need to develop certain credit agencies for advancing loan to small farmers on easy terms as well as to provide long term and medium-term loan to rural industries.
- Moreover, all these require maintenance of honest and efficient administrative machinery which there is dearth in India.